

		Defendant California Automobile Insurance Company (“CAIC”) contends that Plaintiffs’ delay in seeking leave to amend to allege punitive damages is unwarranted. Plaintiff states that the facts underlying the claim – CAIC’s claim documentation and underwriting file and guidelines – first came to light in CAIC document productions on December 11, 2024 and February 28, 2025. (Wilkinson Decl., ¶ 8.) However, it was during the September 8, 2025 deposition of CAIC Underwriting Manager Karen Gallagher that Plaintiffs first learned that: (a) Mercury never inspected the property a second time during the 60-day cancellation period, both as a matter of fact in this case and a matter of policy in all cases; (b) CAIC Claims Manager Michael Burton made the decision to deny the claim and purportedly rescind the policy; and (c) the insurance policy was bound before Mercury even saw the application. (Wilkinson Decl., ¶ 7.) Plaintiff contends the full picture of what CAIC did with respect to Plaintiffs’ insurance claim did not develop until November 18, 2025, when the Court sustained Plaintiffs’ demurrer to CAIC’s Second Amended Cross-Complaint finding there was no basis for CAIC’s fraud in the insurance application theory which was CAIC’s basis for rescinding Plaintiffs’ insurance policy and denying Plaintiffs’ claim. Therefore, the court finds the delay in seeking leave to allege punitive damages was not unreasonable. Further, CAIC will not be prejudiced since the court continued the trial date to October 23, 2026. (Wilkinson Supp. Decl., ¶ 9.) Lastly, CAIC argues the proposed TAC fails to state a viable claim for punitive damages. CAIC may contest the sufficiency of allegations by a motion to strike, demurrer, motion for judgment on the pleadings or other appropriate proceedings. (<i>Kittredge Sports Co. v. Superior Court</i> (1989) 213 Cal.App.3d 1045, 1048 (<i>Kittredge</i>) [“As Justice Kaufman has noted, even if the proposed legal theory is a novel one, ‘the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings.’ [Citation.]”]) Plaintiffs are to electronically file and serve the proposed Third Amended Complaint within 5 days. Plaintiffs to give notice.
6.	CHAVARRIA VS. LIM 2024-01390474	MOTION FOR LEAVE TO FILE CROSS COMPLAINT Defendant Khanh Q. Nguyen’s Motion for Leave to File a Cross-Complaint is GRANTED. Nguyen is ORDERED to file the attached Cross-Complaint within 5 days of this order.

		“A party who fails to plead a cause of action subject to the requirements of this article, whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave to amend his pleading, or to file a cross-complaint, to assert such cause at any time during the course of the action. The court, after notice to the adverse party, shall grant, upon such terms as may be just to the parties, leave to amend the pleading, or to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action.” (Code Civ. Proc., § 426.50.) There is no indication of bad faith in filing the proposed Cross-Complaint at this time and the Motion is unopposed. Further, Nguyen’s counsel states they mistakenly failed to file the proposed cross-complaint when filing Nguyen’s answer. (Garcia Decl., ¶ 5.) Therefore, the Court grants leave to file the proposed cross-complaint.
8.	U.S. BANK NATIONAL ASSOCIATION DBA U.S. BANK EQUIPMENT FINANCE VS. SEED LANDCARE, INC. 2025-01524369	APPLICATION FOR RIGHT TO ATTACH ORDER/WRIT OF ATTACHMENT Plaintiff U.S. Bank National Association dba U.S. Bank Equipment Finance’s Application for a Right to Attach Order and Writ of Attachment is GRANTED. Plaintiff seeks to attach property to secure the recovery of \$36,293.60. <u>Legal Standard</u> Upon the filing of a complaint or anytime thereafter, a plaintiff may apply for a right to attach order and writ of attachment. (Code Civ. Proc., § 484.010.) Following a hearing on the application, the court shall issue a right to attach order if it finds all of the following: (1) The claim upon which the attachment is based is one upon which an attachment may be issued; (2) The plaintiff has established the probable validity of the claim upon which the attachment is based; (3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based; and (4) The amount to be secured by the attachment is greater than zero. (Code Civ. Proc., § 484.090, subd. (a).) <u>Claim Subject to Attachment</u> Pursuant to Code of Civil Procedure section 483.010, an attachment may be issued where the claim is based upon a contract, the claimed amount is a fixed or readily ascertainable amount not less than five hundred dollars (\$500), and the claim is not secured by an interest in real property.